



INTRODUCTION TO STRATEGIC MANAGEMENT

SESSION 1

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OUTLINE

- Definition and scope of strategic management
- The strategic management process: analysis, formulation, implementation, and evaluation
- Levels of strategy (corporate, business, functional)
- Strategic leadership and governance
- The role of vision, mission, and values in strategy

STRATEGIC MANAGEMENT

- What makes Apple or Netflix so successful?
- Is it innovation, culture, or leadership?
- What separates long-term winners from losers?
- Think of companies that failed why?
- Let's unpack what “strategy” actually means



WHAT IS STRATEGIC MANAGEMENT?

- Long-term direction-setting for an organization
- Decisions that affect the entire firm
- Balances internal strengths with external trends
- Requires foresight, leadership, and alignment
- More than goals it's about sustainable advantage

KEY FEATURES OF STRATEGIC MANAGEMENT

- Long-term performance orientation
- Involves top-level decision-making
- Requires integrating multiple departments
- Aligns with both internal strengths and external forces
- Targets sustained competitive advantage
- A continuous, evolving process

SCOPE OF STRATEGIC MANAGEMENT

- Industry-wide analysis (trends, threats, regulation)
- Firm-level focus (resources, leadership, culture)
- Cross-functional impact (HR, finance, marketing)
- Involves global and local perspectives
- Dynamic, not static since it adapts over time
- Includes both formulation and execution

STRATEGY VS. OPERATIONS

- Strategy focuses on long-term vision, direction, advantage
- Operations aims short-term efficiency, execution
- Strategic decision: “Enter East Africa market?”
- Operational decision: “Hire 3 more salespeople?”
- Strategy sets the path; operations follow it
- Both are important but different in focus

THE STRATEGIC MANAGEMENT PROCESS

- A step-by-step guide to navigating strategy
- Starts with analysis and ends with evaluation
- Cyclical and iterative, not linear
- Involves continuous improvement
- Requires leadership at every stage
- Successful strategy depends on alignment

STEP 1 - STRATEGIC ANALYSIS

- Understand internal strengths and weaknesses
- Scan external threats and opportunities
- Tools: SWOT, PESTEL, Porter's Five Forces
- Evaluate company resources and capabilities
- Monitor competitors and market trends

STEP 2 - STRATEGY FORMULATION

- Crafting choices at corporate, business, and functional levels
- Set strategic objectives and goals
- Choose markets, segments, positioning
- Decide on differentiation or cost leadership
- Make strategic investments and divestments
- Align formulation with company mission

STEP 3 - STRATEGY IMPLEMENTATION

- Turning plans into action and results
- Aligning structure, systems, processes
- Leadership and culture critical here
- Requires communication and coordination
- Resource allocation must support goals
- Execution is where many strategies fail

STEP 4 - STRATEGY EVALUATION

- Turning plans into action and results
- Aligning structure, systems, processes
- Leadership and culture critical here
- Requires communication and coordination
- Resource allocation must support goals
- Execution is where many strategies fail

EXAMPLE - NETFLIX STRATEGY CYCLE

- Analysis: Streaming trend disrupts DVD model
- Formulation: Invest in streaming and originals
- Implementation: Upgrade tech, global partnerships
- Evaluation: Subscriber growth and content ROI
- Continual adjustments based on data
- Demonstrates agile, data-driven strategy

WHY STRATEGIES FAIL

- Great strategies need great execution
- Poor leadership and communication
- Inflexible structures and slow adaptation
- Misalignment between culture and strategy
- Failure to monitor and evaluate performance

LEVELS OF STRATEGY

- Strategy happens at multiple levels
- Corporate-level: entire organization
- Business-level: a single market or unit
- Functional-level: departmental contributions
- Each level supports the one above
- Clarity between levels is key

STRATEGIC LEADERSHIP

- Involves envisioning the future and influencing others
- Balances analytical thinking and emotional intelligence
- Empowers teams to drive strategic change
- Responds flexibly to dynamic environments
- Links vision with execution
- Central to all strategy levels

A STRATEGIC LEADER

- Visionary thinking and foresight
- Strong communication skills
- High integrity and ethical foundation
- Execution orientation and accountability
- Empowerment and trust-building
- Comfort with uncertainty and change

GOVERNANCE IN STRATEGY

- Set of structures and roles ensuring accountability
- Board of Directors oversee direction and ethics
- Executive teams develop and implement strategy
- Shareholders provide capital and oversight
- Governance defines strategic boundaries
- Good governance = sustainable performance

STRATEGIC GOVERNANCE

- Board: Approves plans, hires/fires CEO, ensures compliance
- CEO: Vision-caster and decision-maker
- Executives: Coordinate execution across functions
- Audit/Risk Committees: Prevent mismanagement
- External stakeholders: Influence decisions (NGOs, regulators)
- Employees: Live out the strategy daily

WHAT CAN GO WRONG

- Poor oversight,
- Conflicts of interest.
- Misalignment of goals and incentives
- Lack of board independence
- Inadequate risk monitoring
- Weak ethical culture from the top

VISION, MISSION, AND VALUES OVERVIEW

- Foundational to a company's strategic identity
- Answer the questions: Why? What? How?
- Provide strategic clarity and alignment
- Inspire stakeholders and guide decisions
- Effective only when lived, not just written
- Reviewed and adapted over time

VISION STATEMENTS

- Define future aspirations (long-term goals)
- Help organizations stretch and grow
- Focus on where the firm wants to be
- Example: Tesla – sustainable energy leadership
- Inspires employees and investors alike
- Should be clear, bold, and compelling

MISSION STATEMENTS

- Define purpose and core activities
- Explain what the organization does and for whom
- Guide strategic choices and resource allocation
- Must be specific yet broad enough to evolve
- Reflects business model and value delivery

CORE VALUES IN STRATEGY

- Behavioral compass for decision-making
- Build consistent organizational culture
- Influence hiring, training, leadership style
- Must be authentic, not aspirational only
- Operationalize values through systems and rewards



THANK YOU